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CLIENT RESEARCH NOTE · DETAILED

# Risk Hiding in Plain Sight: the detail

The full walk-through of what is inside a standard retirement plan, with sources

**Glenorchy Capital**

GLOBAL MACRO | COMMODITY SUPERCYCLE ROTATION

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## 1. Why we are writing this

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We have had a number of conversations with clients recently that started the same way. They have their capital with us, and they also have money sitting somewhere else. A 401(k), an old employer plan, a rollover IRA. At some point in the conversation they mention it, and then they ask whether we would mind having a look.

So we looked. And then we looked at a lot of them, because the first few were concerning enough that we wanted to know whether they were unusual. They were not.

What follows is one of them, walked through in detail. Whatever you hold may not be exactly this, and the ratio of fixed income to equities will be different if you are closer to retirement. But we have now been through enough of these to say that the risk profile repeats, and it repeats because almost all of these plans are built out of the same handful of index funds.

Where there is smoke there is usually fire, and we think you should know what we think we know.

One thing to say at the outset about how we have written this. We do not know when any of what follows happens. Nobody does. All investing is a matter of probabilities and of what those probabilities are priced at, and where we are making a probability judgement rather than stating a fact, we have said so.

### **For readers outside the United States**

About half of you are, so this needs saying before we go any further: this is not an American problem, and the plan we walk through is only the example we had the most of.

Most pension arrangements look broadly similar wherever they are held. Australia, New Zealand, the UK, Europe. The exposures are much the same, because these plans are almost all assembled from the same small set of global index funds, and those funds own what the index tells them to own.

The route in is slightly different depending on where you sit, and arguably more direct if you are not American. A US investor arrives at these companies through his domestic equity fund. Everybody else arrives through the global or international fund that was chosen precisely because it was the diversified option. The largest single country exposure inside that fund is the United States, and the non-US portion of it is the semiconductor manufacturers we come to in section 3.

The same applies to the bond side, which we deal with in section 5. It is not a US-only trade.

## 2. What a standard plan actually holds

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Take somebody who is around fifty today and retiring in 2040. Their employer typically outsources the plan to Vanguard or similar, and what they get is a target-date fund. In this case the Vanguard Target Retirement 2040 Fund, VFORX.

Here is what is in it.

| Asset class     | Net % |
|-----------------|-------|
| U.S. equity     | 44.53 |
| Non-U.S. equity | 29.22 |
| Fixed income    | 24.43 |
| Cash            | 1.70  |
| Other           | 0.12  |

Roughly 45% US equities, 29% international equities, 24% fixed income, and in a lot of plans a slice of private equity alongside it. If you were retiring in a few years rather than in 2040 the fixed income share would be higher, and that ratio is really the only thing that changes.

Now look underneath it. By sector, the whole fund, bonds included, looks through to this:

| Sector                 | %     |
|------------------------|-------|
| Technology             | 30.74 |
| Financial services     | 15.86 |
| Industrials            | 12.14 |
| Healthcare             | 8.53  |
| Consumer cyclical      | 8.77  |
| Communication services | 7.15  |
| Basic materials        | 3.89  |
| Energy                 | 3.59  |

Technology is about 31%, and in practice it is higher than that, because a company like Amazon is classified under consumer rather than technology. Exposure to the United States is 60.38%.

Then look at energy. About 4%. Basic materials, about 4%. Minuscule.

The rest of this document is about why those four sleeves, which are supposed to be spreading your risk, are largely the same bet.

### 3. The first trade: the AI bubble

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#### The US sleeve

The US exposure comes through the Vanguard Total Stock Market Index Fund, VSMPIX, which owns thousands of companies. Here are its ten largest positions.

| Holding          | % weight |
|------------------|----------|
| NVIDIA           | 6.40     |
| Apple            | 6.29     |
| Microsoft        | 4.78     |
| Amazon           | 3.64     |
| Alphabet Class A | 2.89     |
| Broadcom         | 2.55     |
| Alphabet Class C | 2.31     |
| Meta Platforms   | 1.69     |
| Eli Lilly        | 1.35     |
| JPMorgan Chase   | 1.31     |

The usual suspects. Nvidia, Apple, Microsoft, Amazon. All this fund is doing is index tracking, so what you are getting, when it is all said and done, is the S&P 500. Technology is 35.06% of it, and the top eight names come to about 30% on their own.

#### The international sleeve

You would think that the international allocation gets you away from that. This is the Vanguard Total International Stock Index Fund, VIGTSX, and here is what is at the top of it.

| Holding              | % weight |
|----------------------|----------|
| Taiwan Semiconductor | 4.02     |
| Samsung Electronics  | 1.80     |
| ASML Holding         | 1.42     |
| SK hynix             | 1.41     |

|         |      |
|---------|------|
| Tencent | 0.85 |
| HSBC    | 0.82 |

Taiwan Semiconductor, Samsung, ASML, SK hynix. Technology exposure in this fund is 18.97% on the sector breakdown and in reality higher, and the largest holdings in it are the companies that manufacture the chips the AI buildout runs on. So the diversification there is not achieving very much at all.

Worth noting the other big number in that fund, which is 23.75% in financial services. We have not spent a great deal of time on the financial side because we are not invested in it, but the financialised world has been the underpinning of much of the AI bubble, so there is a cross correlation there too. It is another component of risk sitting inside a standard pension plan.

### **How concentrated this is by historical standards**

BofA tracks concentration of capital into a single sector, measured as a share of US market capitalisation, going back to 1835. The previous bubbles are all on the chart. Utilities and telco in the 1920s at 36%. The Nifty Fifty at 40%. Japan in the late 1980s at 44%, which was phenomenal. TMT in 1999 at 41%.

The AI names are at 39% on a chart that is about six months old, which means today they are over 40%. That puts us very close to the historical peak.

Source: BofA Global Investment Strategy, GFD Finaeon, Bloomberg. "AI Big 10" is the Magnificent 7 plus Broadcom, AMD and Micron.

That does not mean this turns over tomorrow, or in six months, or in eight months. We do not know. What we do know is that where you sit relative to historical precedent tells you something about the probability, and the probability at this point is that we are at or close to a peak.

It matters because of what happened to people who were invested at the previous ones. It took decades to get back to nominal valuations, and that is before you adjust for inflation. Japan still has not made it back on an inflation-adjusted basis. If you are somewhere from your forties onward, the probability of recovering your capital in real terms after an event like that is very close to zero.

Better to be off the beach when the tsunami comes in than on it.

### **The leverage that has built up underneath**

Every bubble brings leverage with it, and the reason is human rather than financial. Somebody takes a risk, it works, and then they look at the fellow next to them who borrowed to do the same thing and is now driving a Porsche. So it emboldens more risk taking, and you see it in every single one.

Right now margin debt is at a record. It passed \$1.3 trillion in April 2026, the highest figure ever recorded. Normalised for the size of the economy that is 5.2% of GDP, about three percentage points above the peaks of both 2007 and 2000. It rose 53% in twelve months.

Source: FINRA margin statistics, via Sakonnet Research.

On valuation, the Shiller CAPE ratio is near 40x against a long-run average of about 17x. The only time it was ever higher was the dotcom peak at roughly 44x. Today's level is above 1929.

Source: Robert J. Shiller; Financial Times calculations.

There is a well-known JP Morgan scatter that Howard Marks has pointed at for years showing that once S&P price-earnings ratios get to 22 and above, the following decade delivers negative returns. Druckenmiller made the same point in an interview recently. Some of the most experienced investors alive are looking at the same data and saying there is a problem here, and the market continues higher, borrowing money to do it.

### Where the money is going

Estimated forward twelve-month capital expenditure for a single hyperscaler is now over \$200 billion, having gone from a stable baseline to a vertical line in about four years.

Source: Bloomberg; Alphabet estimated capital expenditure.

We have never seen a chart that looks like that which does not eventually look like the other side of it. Does the figure hit \$250 billion first? Possibly. Probably. We do not know. But when you start seeing capital deployed this way, driven by narrative and emotion, it has always ended the same way.

Then look at where that spending ends up. Forward free cash flow for the hyperscalers as a group, Amazon, Alphabet, Meta, Microsoft and Oracle, is turning negative for the first time. Forward free cash flow for their semiconductor suppliers, NVIDIA, Micron, Broadcom and Applied Materials, is surging past \$400 billion.

Source: BofA Research Investment Committee, BofA Global Research.

The hyperscalers spent their free cash flow buying chips to fill the data centres, and they have now run out of it. Which has produced a strange situation where the semiconductor companies are themselves lending money to the hyperscalers so that the hyperscalers can buy their chips. That is circular financing, and we have detailed the full flowchart of it in the publications.

You also get the announcements. Company X agrees to buy a gazillion dollars of chips from Company Y, and the market rewards both by bidding up the stock, in many cases where there is no ability for that transaction to actually take place. These are the signs you see at the top of a market. Wherever stupid money flows into a sector you get fraud and you get people taking advantage of easy money, and this time is no different.

## 4. The second trade: private equity and private credit

Pension funds went into private equity and private credit to get some diversification away from their equity exposure. That was a reasonable thing to want. It was noble of them.

Here is roughly where the exposure sits.

| Plan segment | Private equity | Private credit | Combined |
|--------------|----------------|----------------|----------|
|--------------|----------------|----------------|----------|

|                                      |         |       |         |
|--------------------------------------|---------|-------|---------|
| Large state plans                    | ~12–20% | ~4–8% | ~16–28% |
| Mid-sized public plans               | ~8–14%  | ~3–6% | ~11–20% |
| Small municipal plans                | ~0–8%   | ~0–3% | ~0–11%  |
| Broad state/local public-DB estimate | 10–14%  | 4–6%  | 14–20%  |

Source: Mispriced Assets (Nick Nemeth) / Monetary Matters podcast. These are analyst estimates presented as a thesis, not a confirmed regulatory finding.

The problem is what that capital was deployed into and at what cost. A great deal of it was borrowed money that went into things like data centres, borrowed at interest rates three or four hundred basis points below where they are today. Now that debt has to be rolled. The lenders are perfectly willing to lend, but at today's cost of capital.

So the private equity firms are looking at that and saying they do not have the liquidity, and that they will have to sell some assets. Two things then happen. The assets are hard to sell at the valuations they were bought at or marked at, so there are write-downs. And they are illiquid, so the selling takes time they do not have.

Meanwhile the investors turn around and ask for their money back, and the firms say they do not have it. So they gate. The redemptions are suspended and the pension plans are among the investors who cannot get out.

Which leaves everyone in a sort of no man's land, where the valuations sitting on the books of the private equity firms, and therefore on the books of the pension funds, are for certain not the correct valuations. To what degree, we do not know. But as rates go higher you can be reasonably sure those valuations come down, and we suspect some of them will be impaired to the point of outright bankruptcy.

And the thing that was supposed to provide diversification has not. A lot of pension money is now lending to AI firms. You are not achieving anything from private equity and private credit here. You are just adding risk.

## 5. The third trade: sovereign bonds

The bond allocation is about a quarter of the plan and it is the part nobody examines, because it is the part that is supposed to be safe.

The argument for it was risk parity. Hold some bonds and some equities, and when bonds do well equities do poorly, and the other way around. We challenged that at the time and we think 2022 settled it, because bonds and equities went down together.

People looked at 2022 and thought it was a bit strange. Our view is that those two markets are more correlated now than they were then, not less, and the reason is that these large AI companies are taking on serious amounts of debt to build out their infrastructure. When rates rise, bond prices fall,

and the companies carrying that debt get hit by a higher cost of capital, which impairs the equity side of their balance sheet. In 2022 the leverage in equity markets was lower than it is today. So expect what happened then, more so.

US ten-year yields have been falling since about 1980, which is forty years of a trend. We have been around long enough to know that the greater the magnitude and duration of a move in one direction, the greater the magnitude and duration of the move that follows it. We are going to pay for that long period of falling rates, and our view is that the upside in rates surprises people on both duration and magnitude.

The supply side of it is straightforward arithmetic. There is more than eight trillion dollars of privately-held marketable Treasury debt maturing within the year. It either gets paid back, which is not happening because the money is not there, or it gets rolled over. It will get bought. The question is at what price.

Every 25 basis points on that pile is real money. At roughly \$3.9 billion of additional cost per basis point of average borrowing cost, rolling at today's yields rather than the maturing coupons adds something like \$80 billion a year, against a deficit already near \$1.8 trillion. Interest is now the single biggest line item in the US budget, and that cannot continue indefinitely.

Source: Financial Times; US Treasury Bulletin, Table FD-5, fiscal year-end data.

This is not a US-only trade either. We could show you UK gilts, or JGBs, or very nearly any sovereign bond market on the planet, and the dynamics look the same. The chart we use in the presentation carries the German bund alongside the US ten-year for exactly that reason, both of them well off their lows. If you hold a pension in the UK, Australia, New Zealand or Europe, your fixed income sleeve is exposed to the same repricing.

## 6. Why these are not three separate problems

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This is the part we most want to land.

The sovereign bond market is the pivotal one, because it reprices the other two. As the AI companies take on more debt they become more susceptible to their lenders, which is always the case for anyone carrying debt. Higher yields raise their cost of capital and impair the equity. Higher yields also impair the credit sitting underneath the private assets. And as sovereign bonds reprice, all bonds reprice with them, corporate or otherwise.

So the four sleeves in that pension plan are not four different bets that behave differently when something goes wrong. People believe they are well diversified because they hold US equities, international equities, bonds and some private assets. The reality is that the diversification is not what they think it is, and the correlations are a lot closer to one.

That is what we mean when we say this is one position held four ways.



## 7. What is not in there

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Go back to the sector breakdown at the start. Energy about 4%. Basic materials about 4%.

It strikes both of us as insane that the allocation to hard assets and energy in these portfolios is that small, given where we are in the cycle and where we think capital rotates to next.

We had a conversation last week with a family office whose hard asset and energy allocation was similarly minuscule, and who called us to ask what we were doing. That has not happened before. Whether it is a tell for a broader repositioning of capital we do not know. But where the vast majority of the market is invested today looks very problematic to us.

## 8. Go and have a look

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If you have money in a 401(k) or an old plan somewhere, this is a call to action to go and look at what you are actually invested in. Not the fund names. Dig down into the holdings underneath them.

Everything in this document came from publicly available fund data and took very little time to assemble. Most people have never done it, and the reason is not laziness. It is that the plan statement tells you the name of the fund and stops there, and it takes deliberate effort to get to what the fund holds.

Three things to check while you are in there. What the ten largest positions actually are. Whether your international fund is holding a different bet from your domestic one or the same bet further up the chain. And whether any of it is in a private vehicle, in which case find out now what the redemption terms are and whether they have changed.

We would also encourage you to look at all of it together. The most common thing we see is somebody holding one portfolio deliberately and another by default, and never putting the two on the same page. The default one is often the larger.

This is not a moment to say she'll be right, I'm diversified.

## 9. If you would rather we did it

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Send us your retirement plan statements and we will go through them and show you what is in there: the holdings underneath the funds, where the concentrations sit, which of your sleeves are the same bet, and what is missing.

Chris and Brad do these personally. You get the analysis whether or not it goes anywhere.

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Glenorchy Capital Ltd. · 257 Desmond's Road, Boorolite, Victoria 3723, Australia  
BVI Company no. 197 5524 · BVI Approved Investment Manager IBR/AIM/18/0235  
United States CRD #305636 · SEC #801-117456 · admin@glenorchycapital.net